IFA REBUTTAL CHEAT SHEET

SECTION 1: CORE PILLARS OF THE TRAP

- The net cost drops to exactly zero dollars because the annual loan advance matches the premium deposit dollar-for-dollar. This characterization as limited-recourse debt mathematically eliminates any recognized statutory investment cost basis.
- The statutory definition of a tax shelter explicitly captures an entire integrated financial arrangement rather than just a single standalone piece of property. You do not need to prove the insurance policy alone is a tax shelter if the combined lending and policy strategy operates as a single promoted marketing package.
- The tax shelter ratio formula is mathematically blind to how a deduction is classified. It simply aggregates all represented financial columns, such as loan interest and net cost of pure insurance tax recoveries, and pits them against the zero-dollar net cost baseline.

SECTION 2: SIDE-BY-SIDE REBUTTAL POINTS

Defense: The credit facility is structured as a contractually valid demand loan where interest is paid monthly, which satisfies the ten-year repayment exclusion rules. **Rebuttal:** Financial illustrations modeling a lifelong horizon serve as physical evidence that overrides contractual boilerplate text. The Canada Revenue Agency APFF 2006 Round Table confirmed that long-term projections indicate a lack of a bona fide ten-year repayment intent, rendering the debt limited recourse.

Defense: The property is separate because interest deductions stem entirely from an independent corporate investment portfolio or business under paragraph 20(1)(c), avoiding a property mismatch. **Rebuttal:** The bank's own credit underwriting rules contractually combine the assets into a single strategy. A typical institutional lending term sheet explicitly lists the insurance company's marketing ledger illustration as a mandatory document requirement for credit approval.

Defense: The arrangement is a bespoke private wealth transaction customized for an individual high-net-worth client rather than a mass-marketed public promotion. **Rebuttal:** Private, one-on-one wealth structures are fully caught under the law. The Krumm v. Canada precedent confirmed that tax shelter provisions apply to private transactions and that merely illustrating specific tax-deductible metrics is legally equivalent to making a representation.

Defense: The strategy has clear commercial substance because the borrowed funds are deployed directly into real economic activity or active portfolio growth. **Rebuttal:** Subjective intent and commercial utility are completely irrelevant under the strict mechanical registration rules of Subsection 237.1(1). In Canada Revenue Agency Advanced Ruling 2009-034038, planners of long-term insurance leverage were forced to concede upfront that their bank loans constituted limited-recourse amounts.

Defense: The net economic cost is never zero because the client pays recurring out-of-pocket interest expenses to a commercial lender. **Rebuttal:** The initial premium outlay is completely erased by the matching loan advance. Furthermore, the financial viability of the arrangement relies directly on represented interest and net cost of pure insurance tax recovery columns to keep the compounding debt from outrunning the policy values and destroying the estate benefit.